

Shifting priorities

A LOT OF THINGS HAVE CHANGED SINCE THE COVID-19 PANDEMIC HAS BEGUN.

We've adapted to the new situation fairly quickly. The digital transformation journey that would have otherwise cost companies tonnes of resources has occurred for a fraction of the cost. If I had to guess then it was mostly the shifting priorities that led to rapid transformation of workspaces, study spaces and other aspects of everyday life. Even when it comes to our technology purchases, the shift in priorities has resulted in different buying behaviours.

A recent EY survey conducted after the pandemic began segregated the responses into four buckets – save and stockpile, cut deep, stay calm, and hibernate and spend. The first set weren't so concerned about the pandemic but they were concerned about their loved ones and the shift in buying behaviour had them stockpiling early on. Then came the folks who were actually affected in some form or the other and as a result had made deep cuts in their overall spending. After this were the folks who weren't affected much but were cautious of others who were stockpiling. And lastly, you had the people who were well-off and didn't change their buying behaviour. The first two categories we spoke of make up 62 per cent of the total survey responses. A vast majority of the human race are going to behave in a similar manner as they reassess their priorities to focus on spending just where they need it.

This has a lot of implications on the kind of products that manufacturers can sell. The high-end expensive gadgets will see much

lower sales and the more essential electronic products will start selling more. So instead of getting a high-end graphics card for your PC upgrade, you might choose to get a mid-range graphics card of the latest generation or even skip the upgrade altogether, if that's more prudent. Accordingly, manufacturers will start transitioning towards meeting this new demand for "value for money" hardware. Frivolous knick-knacks and gimmicky features might make consumers perceive a product in a negative fashion. I hate to think what this could mean for innovation.

On one hand, innovation will happen in making more capable hardware at much lower costs; and on the other hand it could also mean that manufacturers have less reason to push the envelope of existing technologies. The former is wonderful and always welcome whereas the latter is not. Of course, this shift in priorities is not going to be permanent. Buying behaviour will quickly change as the Covid-19 pandemic gets over but if mathematical models are to be believed, we're looking at a good 18-20 months before things can start getting back to normal.

Personally, I've put my extravagant water cooling build on hold. There's no way on earth I'm spending ridiculous amounts of money on water blocks and fittings for my build when my PC works just as fine with air cooling. However, it's not a project that I want to abandon. I would very much want to get back to it in about a year or so. Perhaps once the vaccine for Covid-19 comes out and I don't have to worry about conserving my finances for a medical emergency. **d**



"Frivolous knick-knacks and gimmicky features might make consumers perceive a product in a negative fashion. I hate to think what this could mean for innovation."



IMPORTANT NOTE ABOUT YOUR DVD:

We are shipping the April 2020 DVD with the Digit May 2020 issue. Because of the nationwide lockdown, we are facing tremendous logistical issues, which prevents us from being able to replicate the May 2020 DVD on time. Rather than delay the issue any further, we will make it up to you in the June Anniversary issue. For now, you can access the May 2020 eDVD at <https://geek.digit.in>

Subscribers already have access to the digital issue + eDVD. Those who've purchased the issue separately can write to help@digit.in to gain access to the May eDVD.



Let me know your thoughts on this column at:

@mithun_mohandas | mithun@digit.in